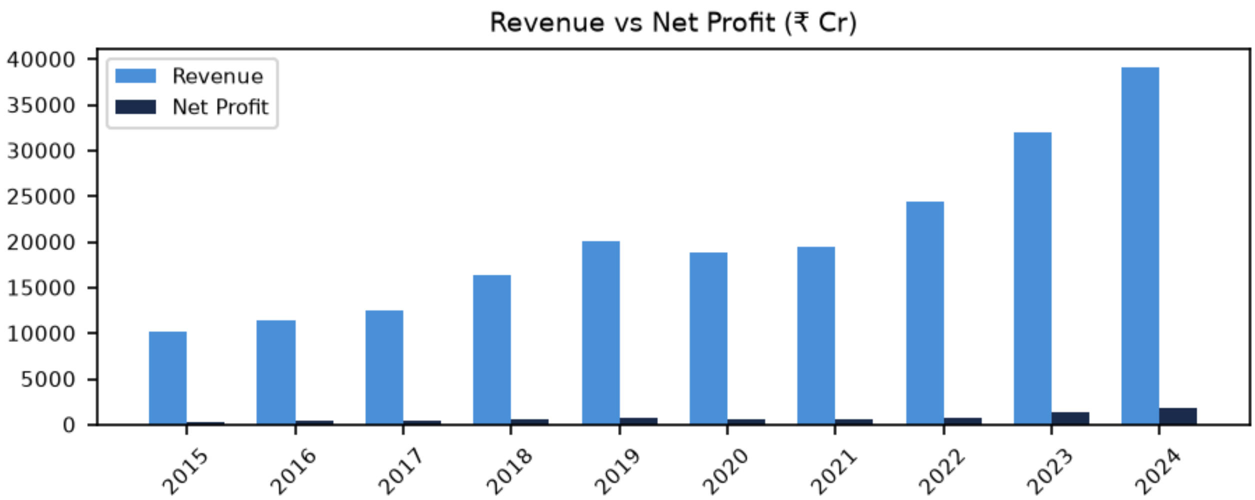
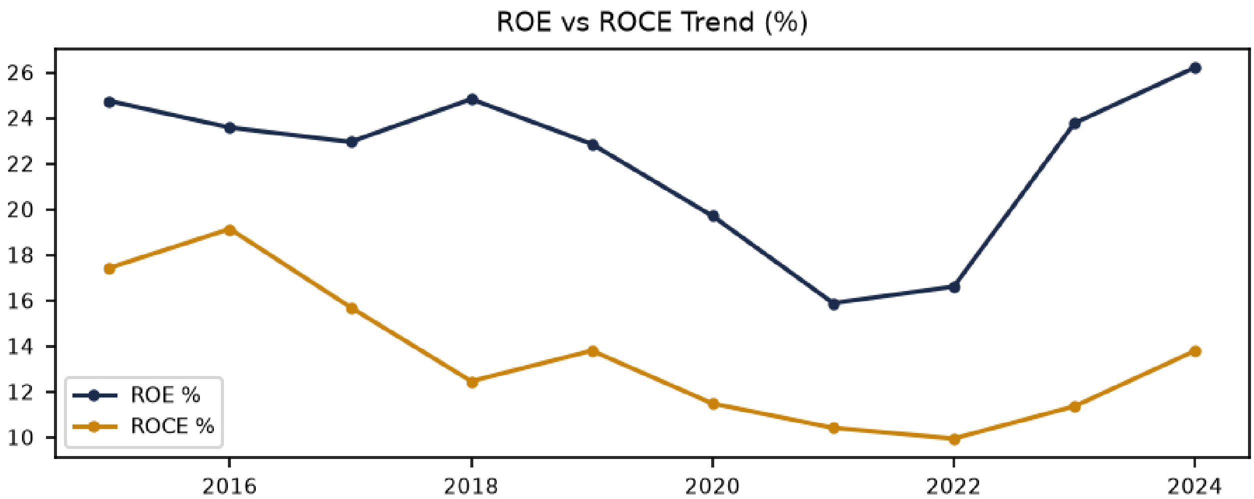
TVS Motor Company Ltd

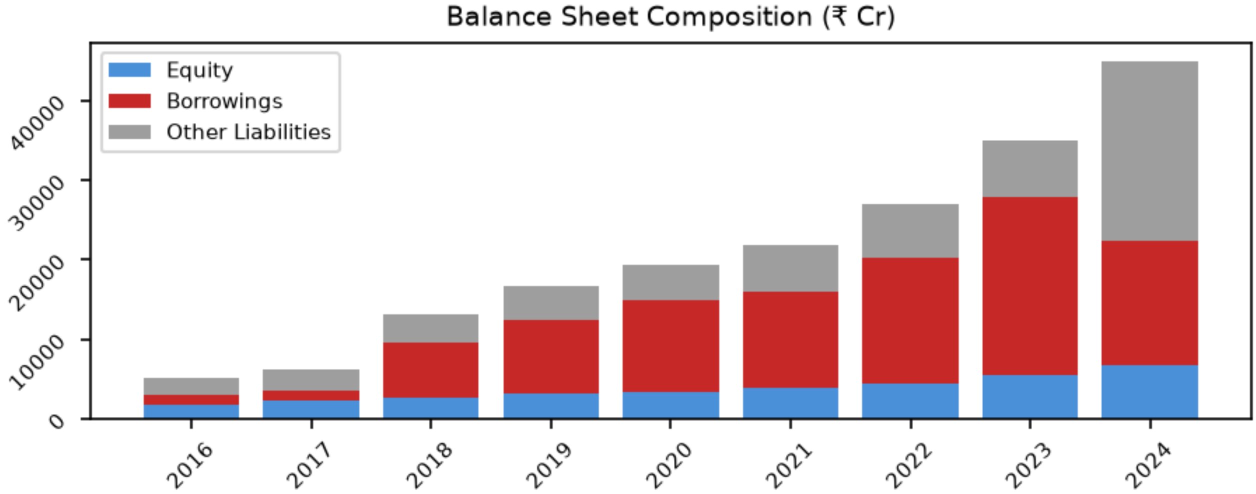
TVSMOTOR · Consumer Discretionary

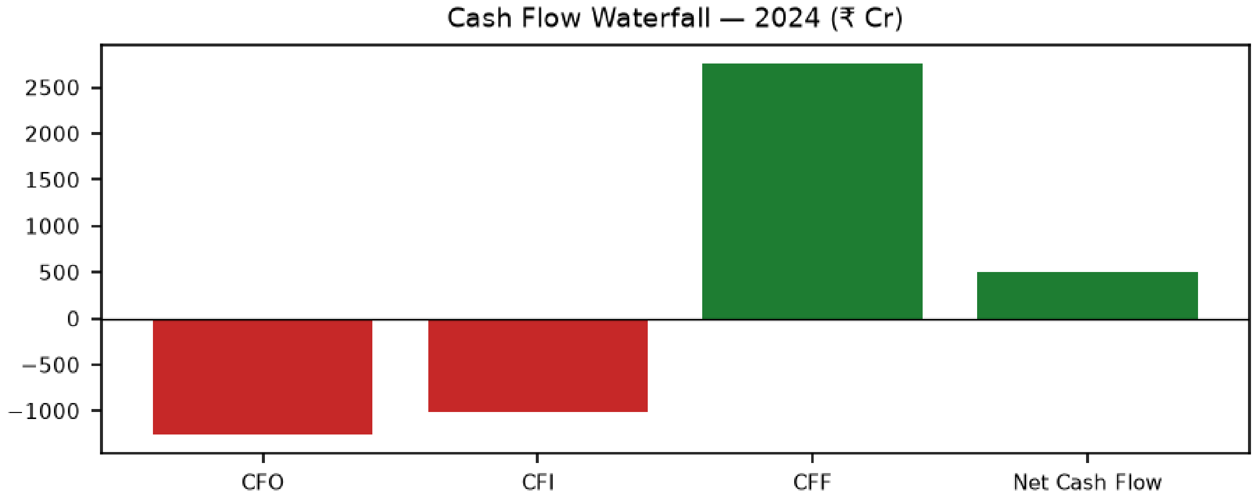
ROE	ROCE	Net Profit Margin
26.2%	13.8%	4.5%

Debt-to-Equity	Revenue CAGR (5yr)	Free Cash Flow
3.83	14.2%	■-2,254 Cr









Pros	***Cons***
✓ Return on equity improving for 3 consecutive years shows strengthening business quality	✗ Free cash flow negative for 3 consecutive years raises concern about cash generation quality
✓ Revenue growing slower than profits shows improving operating leverage and scale benefits	✗ Debt-to-equity ratio of 3.83 is elevated for a non-financial company and warrants monitoring
✓ Growing asset base funded by internal accruals reflects self-sustaining growth	✗ Gross debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding	

Capital Allocation: Distress